

clear succession plan is a good fit, market watchers say. Sonu Bhasin, a family business historian, author and an independent director, says, "For a conglomerate like that, its diversified set of businesses increases the chances of succession planning working out well. With distinct job responsibilities, it gives each inheritor a chance to prove themselves."

While pointing out that Ambani will remain the guiding light, her view is that the siblings would be given ample space to learn, while being required to stay focussed on growing the businesses they have

KRChoksey Group. Maintaining this continuity was planned, he believes, adding that it has helped the Ambani children gain the acceptance of senior management and other RIL board members. "Today, RIL is an extremely complicated entity with a multitude of businesses. It is huge, and a proper succession process is necessary. And the company has been very proactive in doing that."

In the Indian context, given how many businesses are family-run in the country, succession planning is a tricky affair. Kavil Ramachandran, Senior Advisor at the Thomas

their succession planning models, Ramachandran says that usually, the chosen family members move through several roles and responsibilities in an organisation before being entrusted with bigger responsibilities. "They are continuously evaluated, groomed and mentored before a board position comes their way. The way Reliance has gone about it is merely one more example of that." The grooming model, he points out, has been successful, with the overall long-term impact seen to be quite beneficial for the company and its stakeholders.

One reason that succession plan-

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- 1** Isha (left), Akash (middle) and Anant have been appointed to the board of the \$119-billion diversified Reliance Industries Ltd as non-executive directors
- 2** According to experts, the company's high degree of diversification bodes well for its succession plans
- 3** Isha runs the retail business, Akash is in charge of the telecom business and Anant oversees the new green energy business of RIL
- 4** The move is being viewed as a clear indication of succession planning in the group
- 5** The three children of Mukesh Ambani have already spent time learning about the businesses to which they have been assigned



been entrusted with.

A huge plus working in their favour is the time they have already spent understanding the businesses in the roles they have been assigned to. "The initial period was spent in a phase of mentorship by the professionals. That was obviously a part of getting them ready for larger leadership roles," says Deven Choksey, Promoter and MD of wealth management firm

Schmidheiny Centre for Family Enterprise in the Indian School of Business (ISB), Hyderabad, and a long-time family business tracker, points out that the board of any company has a fiduciary responsibility towards its shareholders. Hence, "It's important to bring in people with proven capabilities," he explains.

Based on his understanding of large Indian conglomerates and

ning can be challenging for family businesses is when the patriarch does not want to let go. "Mukesh Ambani has displayed a lot of maturity, and it is important for more patriarchs to do that. In the long-term, the decision to demarcate responsibilities the way he has done, will be good for all stakeholders, including the family," says Bhasin. **BT**

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